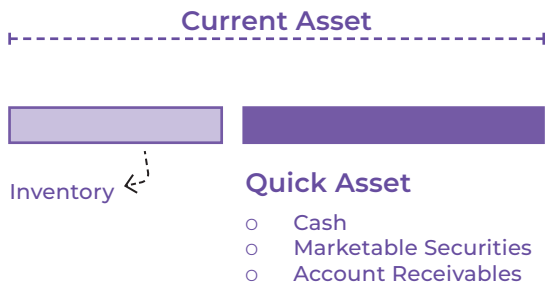


Simultaneously, we can also examine and compare the liquidity ratio of Apar Industries for previous years and analyze if the current ratios, as well as the quick ratio, has been maintained well throughout the years.

What are Quick Assets?



Quick Ratio

Formula: **Quick Asset /**
Current Liabilities

Here quick ratio means quick assets (current assets[-]inventory) divided by current liabilities. Quick assets mean those that can be converted to cash quickly.

Since the company has maintained its current liquidity ratio, we can say that the business is managing its liquidity well.



Now we know that the company is doing well in terms of solvency and liquidity. In simple terms, the company has a strong position on long term financial health as well as day to day financial management. Let's now continue our further evaluation of ratios.